

## *Industrial (Labour) Legislation*

### 22.1. INTRODUCTION

- There has always been struggle, conflict and clashes between the employees (labour) and the employer on the matters of (more) wages, allowances, other facilities etc.
- During the last fifty years with the increase in cost of living, the employee-employer conflicts also increased thereby resulting in strikes, lockouts, picketings and gheraos.
- Ultimately, the government which initially was a silent observer of such conflicts, had to intervene to minimize employee-employer disputes, for the welfare and economy of the country; and thus the government contributed to the personnel field by legislation. Since 1920's there has been a growing stream of protective labour laws regulating wages, compensation, disputes, safety etc.

### 22.2. IMPORTANCE AND NECESSITY OF LABOUR LEGISLATION (i.e., LABOUR ACTS)

Labour legislation,

1. Improves industrial relations, i.e., employee-employer relations.
2. Helps pay fair wages to workers.
3. Minimize unrest among the workers.
4. Gives compensation to workers, victims of accidents.
5. Reduces conflicts, strikes etc.
6. Procures job security for the workers.
7. Promotes wholesome environmental conditions in the industry.
8. Fixes hours of work, rest pauses, etc.

### 22.3. PRINCIPLES OF LABOUR LEGISLATION

Labour legislation is based upon the following principles:

1. *Social justice*. Social justice implies proper distribution of business profits and benefits between employer and employees. Labour acts which base themselves on social justice are,

- (a) Factories Act
- (b) Minimum Wage Act
- (c) Workmen's Compensation Act, etc.

2. *Social equality*

3. *National economy*

4. *International uniformity and solidarity*. To keep international uniformity in all labour matters, different countries seek guidance from International Labour Organisation (ILO) conventions and recommendations for making Labour Laws.

### 22.4. TYPES OF LABOUR LAWS

1. *Laws connected with working conditions in factories:*

- (a) Factories Act, 1948.
- (b) Industrial Employment Act, 1946.
- (c) The Mines Act, 1952.
- (d) Indian Merchant Shipping Act, 1923.
- 2. *Laws related to specific matters, e.g., wages, welfare, etc.*
  - (a) The Payment of Wages Act, 1936.
  - (b) The Minimum Wages Act, 1948.
  - (c) The Workmen Compensation Act, 1923.
  - (d) The Employee State Insurance Act, 1948.
  - (e) The Employee Provident Fund Act, 1952.
- 3. *Laws related to worker's associations*
  - (a) Trade Union Act, 1926.
  - (b) Industrial Dispute Act.
- 4. *Laws related to social insurance*
  - (a) The Maternity Benefit Act, 1961.
  - (b) The Workmen Compensation Act, 1923.
  - (c) Employee's State Insurance Act, 1948.

*Some of these laws will be discussed briefly in this chapter.*

## 22.5. THE FACTORIES ACT, 1948

### 22.5.1. Object and Scope

- The factories act regulates conditions of work (health, safety etc.) in factories, it safeguards the interest of workers and it is for the welfare of factory workers.
- This act received the assent of Governor-General of India on September 23, 1948 and came into force on April 1, 1949. This act was further amended in 1950, 1951, 1954, etc., and lately in 1987.
- This act is applicable to any factory in which ten or more than ten workers are working.
- The factories act has a provision in respect of
  - 1. Employee health and safety,
  - 2. Hours of work,
  - 3. Sanitary conditions and wholesome work environments,
  - 4. Employee welfare,
  - 5. Leave with wages, etc.

### 22.5.2. Important definitions

(a) *Factory*. A place wherein ten or more persons are working and in which a manufacturing process is going on using electricity, steam, oil, etc.

(b) *Manufacturing process*. A process for

- making, altering, repairing, finishing, packing, washing, cleaning, or otherwise treating a substance for its use, sale, transport, disposal, etc. ;
- pumping oil, water or sewage, or
- generating, transforming, or transmitting power, or
- composing types for printing, printing for letterpress, lithography, photogravure or other similar process or book binding ;

- (a) Factories Act, 1948.
- (b) Industrial Employment Act, 1946.
- (c) The Mines Act, 1952.
- (d) Indian Merchant Shipping Act, 1923.
- 2. *Laws related to specific matters, e.g., wages, welfare, etc.*
  - (a) The Payment of Wages Act, 1936.
  - (b) The Minimum Wages Act, 1948.
  - (c) The Workmen Compensation Act, 1923.
  - (d) The Employee State Insurance Act, 1948.
  - (e) The Employee Provident Fund Act, 1952.
- 3. *Laws related to worker's associations*
  - (a) Trade Union Act, 1926.
  - (b) Industrial Dispute Act.
- 4. *Laws related to social insurance*
  - (a) The Maternity Benefit Act, 1961.
  - (b) The Workmen Compensation Act, 1923.
  - (c) Employee's State Insurance Act, 1948.

*Some of these laws will be discussed briefly in this chapter.*

## 22.5. THE FACTORIES ACT, 1948

### 22.5.1. Object and Scope

- The factories act regulates conditions of work (health, safety etc.) in factories, it safeguards the interest of workers and it is for the welfare of factory workers.
- This act received the assent of Governor-General of India on September 23, 1948 and came into force on April 1, 1949. This act was further amended in 1950, 1951, 1954, etc., and lately in 1987.
- This act is applicable to any factory in which ten or more than ten workers are working.
- The factories act has a provision in respect of
  - 1. Employee health and safety,
  - 2. Hours of work,
  - 3. Sanitary conditions and wholesome work environments,
  - 4. Employee welfare,
  - 5. Leave with wages, etc.

### 22.5.2. Important definitions

(a) *Factory*. A place wherein ten or more persons are working and in which a manufacturing process is going on using electricity, steam, oil, etc.

(b) *Manufacturing process*. A process for

- making, altering, repairing, finishing, packing, washing, cleaning, or otherwise treating a substance for its use, sale, transport, disposal, etc. ;
- pumping oil, water or sewage, or
- generating, transforming, or transmitting power, or
- composing types for printing, printing for letterpress, lithography, photogravure or other similar process or book binding ;



- constructing, reconstructing, repairing, refitting, finishing or breaking up ships or vessels.
- (c) *Worker*. Worker means a person employed directly or through any agency, whether for wages or not, in any manufacturing process or in cleaning any part of the machinery or premises used for a manufacturing process or in any other kind of work incidental to or connected with, the manufacturing process or the subject of manufacturing process.
- (d) *Adult*. A person who has completed his eighteenth year of age.
- (e) *Child*. A person who has not completed his fifteenth year of age.
- (f) *Power*. Electrical energy or any other form of energy which is mechanically transmitted and is not generated by human or animal agency.
- (g) *Machinery*. It includes
  - Prime movers : engine, motor, etc.
  - Transmission machinery : shaft, wheel, drum, pulley, belt etc.
  - And all other appliances whereby power is generated, transformed or transmitted.
- (h) *Occupier of factory*. A person who has ultimate control over the affairs of factory and where the said affairs are entrusted to a managing agent, such agent will be considered as the occupier of the factory.

#### 22.5.3. Approval, Licensing and Registration of Factories

- Before starting a factory,
  1. Take permission of the state government or chief inspector for the site on which factory is to be made.
  2. Get the factory plans and specifications approved by the inspector of industries.
  3. Pay the necessary fees and get the registration and licensing of the factory.
- If on an application to chief Inspector to use a particular site for a factory, nothing is heard within three months, the permission is deemed to have been granted.
- In case of refusal from chief inspector or state government, the applicant within 30 days of the date of such refusal may appeal to central government in this connection.
- An occupier should, at least 15 days before he occupies a place as a factory, send to Chief Inspector a written notice containing—name and address of occupier and factory, nature of manufacturing process, nature of power to be used, name of factory manager, number of workers required, etc.

#### 22.5.4. Inspectors. State government appoints Chief Inspector and other Inspectors who

- (i) may enter any factory ; and
- (ii) may make examination of premises, plants, machinery and any documents related to factory.

#### — Certifying Surgeons

State government may appoint qualified medical practitioners as certifying surgeons for

- (i) the examination and certification of young workers, and
- (ii) the examination of workers engaged in dangerous occupation or processes.

#### 22.5.5. Main Provisions of the Act. They are as follows :

##### 22.5.6. Health

##### 1. Cleanliness

- Removal and disposal of dirt and refuse from floors, benches etc., everyday.
- Washing of floors of work room at least every week, using disinfectant.
- Effective means to drainage to avoid collection of water, etc., on the work floor.
- All inside walls and partitions, all ceiling tops of rooms, passage and staircase

- No worker shall spit except in a spittoon and if a person contravenes this, he shall be punishable with a fine not exceeding rupees five.

#### **22.5.7. Safety**

##### **1. Encasing and fencing of machinery**

- In every factory the following shall be securely fenced unless they are in such position as to be safe for each worker
  - (i) Moving parts of prime-mover and flywheel connected to it.
  - (ii) The head race and tail race of water wheel and water turbine.
  - (iii) Any part of a stock bar projecting beyond the lathe head-stock.
- The following parts should be securely fenced by safeguards which shall be kept in position while the parts are rotating,
  - (i) Parts of electric generator, motor, etc.
  - (ii) Parts of transmission machinery.
  - (iii) Dangerous parts of any other machinery.

##### **2. Work on or near machinery in motion**

- Any part of machinery if it is required to be examined while it is in motion shall be examined only by a specially trained adult male worker wearing tight fitting clothing.
- No woman or young worker shall be permitted to clean, lubricate or adjust any part of a moving machinery which involves a risk of injury.

##### **3. Employment of young persons on dangerous machines**

No young person shall work on a dangerous machine unless

- he has got sufficient training to work at that machine ; and
- he is under adequate supervision of an adult experienced worker/supervisor.

##### **4. Hoists and lifts**

- Every hoist and lift shall be
  - (i) of good mechanical construction, adequate strength and sufficiently protected and fitted with gates ; and
  - (ii) adequately maintained and periodically (at least once in six months) examined.
- Hoists and cranes meant for carrying persons shall have at least two ropes or chains separately connected with the cage. Each rope or chain with its attachments shall be able to carry weight of the cage together with its maximum load (e.g., weight of persons).
- Devices should be provided to support cage in the event of breakage of the ropes or chains.

##### **5. Lifting machine, chains, ropes and lifting tackles**

Factory cranes and other lifting machines such as crab, winch toggle, pulley block, etc., shall be of good construction, sound material, adequate strength, properly maintained and thoroughly examined atleast once a year.

##### **6. Pressure plants**

It should be ensured that the working pressure of such parts does not exceed the safe value.

##### **7. Floors, stairs and means of access to different places**

They should be of sound construction, properly maintained and provided with handrails.

##### **8. Pits, sumps, openings in floors, etc., shall be either securely covered or suitably fenced.**



- No worker shall spit except in a spittoon and if a person contravenes this, he shall be punishable with a fine not exceeding rupees five.

#### 22.5.7. Safety

##### 1. Encasing and fencing of machinery

- In every factory the following shall be securely fenced unless they are in such position as to be safe for each worker
  - (i) Moving parts of prime-mover and flywheel connected to it.
  - (ii) The head race and tail race of water wheel and water turbine.
  - (iii) Any part of a stock bar projecting beyond the lathe head-stock.
- The following parts should be securely fenced by safeguards which shall be kept in position while the parts are rotating,
  - (i) Parts of electric generator, motor, etc.
  - (ii) Parts of transmission machinery.
  - (iii) Dangerous parts of any other machinery.

##### 2. Work on or near machinery in motion

- Any part of machinery if it is required to be examined while it is in motion shall be examined only by a specially trained adult male worker wearing tight fitting clothing.
- No woman or young worker shall be permitted to clean, lubricate or adjust any part of a moving machinery which involves a risk of injury.

##### 3. Employment of young persons on dangerous machines

No young person shall work on a dangerous machine unless

- he has got sufficient training to work at that machine ; and
- he is under adequate supervision of an adult experienced worker/supervisor.

##### 4. Hoists and lifts

- Every hoist and lift shall be
  - (i) of good mechanical construction, adequate strength and sufficiently protected and fitted with gates ; and
  - (ii) adequately maintained and periodically (at least once in six months) examined.
- Hoists and cranes meant for carrying persons shall have at least two ropes or chains separately connected with the cage. Each rope or chain with its attachments shall be able to carry weight of the cage together with its maximum load (e.g., weight of persons).
- Devices should be provided to support cage in the event of breakage of the ropes or chains.

##### 5. Lifting machine, chains, ropes and lifting tackles

Factory cranes and other lifting machines such as crab, winch toggle, pulley block, etc., shall be of good construction, sound material, adequate strength, properly maintained and thoroughly examined atleast once a year.

##### 6. Pressure plants

It should be ensured that the working pressure of such parts does not exceed the safe value.

##### 7. Floors, stairs and means of access to different places

They should be of sound construction, properly maintained and provided with handrails.

##### 8. Pits, sumps, openings in floors, etc., shall be either securely covered or suitably fenced.

**9. Excessive weights**

No person shall be asked to lift, carry or move any load so heavy as to cause him an injury.

**10. Protection of eyes**

To protect the eyes of workers from the flying particles (such as in fettling, rivet cutting, scale removal, etc.) or from exposure to welding rays, each worker shall be provided with effective screens or suitable goggles.

**11. Precautions against dangerous fumes**

No person shall be allowed to enter any confined space, chamber, tank, pit, etc. in which dangerous fumes are likely to be present so as to involve risk to the entering person.

**12. Explosive or inflammable dust, gas, etc.**

If a manufacturing process is producing dust, gas, fumes or vapour which can explode on ignition,

- (i) the plant should be effectively enclosed ; and
- (ii) such dust, gas fume, etc., should not be allowed to accumulate.

**13. Precautions in case of fire**

Every factory shall be provided with means as follows and others to help escape in case of fire :

- (i) Fire warning signal.
- (ii) Unlocked doors and openings towards outside the workroom.
- (iii) Free passageways and easily openable windows.

**22.5.8. Welfare****1. Washing facilities**

- Washing facilities adequately screened for male and female workers should be provided in the factory.
- Washing facilities shall be easily accessible and kept clean.

**2. Facilities for sitting**

Suitable sitting facilities shall be provided for all workers obliged to work in standing position so that they may take rest if an opportunity occurs in the course of their work, without affecting the work.

**3. First aid appliances**

- For every 150 workers, minimum one fully equipped first-aid box shall be kept available during all working hours.
- A factory employing more than 500 workers shall have a properly equipped ambulance room.

**4. Canteens**

A canteen shall be provided in each factory in which more than 250 workers are ordinarily employed.

**5. Shelters, rest-rooms and Lunch-rooms**

Every factory in which more than 150 workers are ordinarily employed, adequate, suitable, clean, sufficiently lighted and ventilated rest and lunch rooms shall be provided.

**6. Creches**

Every factory shall provide clean, adequately lighted and ventilated rooms for the use of children (under the age of six years) of women workers, if the number of such women workers exceeds 30.

**7. Welfare officers**

- Every factory employing 500 workers or more shall employ welfare officers.
- The state government may prescribe the duties, qualifications and conditions of service of welfare officers so employed.

**9. Excessive weights**

No person shall be asked to lift, carry or move any load so heavy as to cause him an injury.

**10. Protection of eyes**

To protect the eyes of workers from the flying particles (such as in fettling, rivet cutting, scale removal, etc.) or from exposure to welding rays, each worker shall be provided with effective screens or suitable goggles.

**11. Precautions against dangerous fumes**

No person shall be allowed to enter any confined space, chamber, tank, pit, etc. in which dangerous fumes are likely to be present so as to involve risk to the entering person.

**12. Explosive or inflammable dust, gas, etc.**

If a manufacturing process is producing dust, gas, fumes or vapour which can explode on ignition,

- (i) the plant should be effectively enclosed ; and
- (ii) such dust, gas fume, etc., should not be allowed to accumulate.

**13. Precautions in case of fire**

Every factory shall be provided with means as follows and others to help escape in case of fire :

- (i) Fire warning signal.
- (ii) Unlocked doors and openings towards outside the workroom.
- (iii) Free passageways and easily openable windows.

**22.5.8. Welfare****1. Washing facilities**

- Washing facilities adequately screened for male and female workers should be provided in the factory.
- Washing facilities shall be easily accessible and kept clean.

**2. Facilities for sitting**

Suitable sitting facilities shall be provided for all workers obliged to work in standing position so that they may take rest if an opportunity occurs in the course of their work, without affecting the work.

**3. First aid appliances**

- For every 150 workers, minimum one fully equipped first-aid box shall be kept available during all working hours.
- A factory employing more than 500 workers shall have a properly equipped ambulance room.

**4. Canteens**

A canteen shall be provided in each factory in which more than 250 workers are ordinarily employed.

**5. Shelters, rest-rooms and Lunch-rooms**

Every factory in which more than 150 workers are ordinarily employed, adequate, suitable, clean, sufficiently lighted and ventilated rest and lunch rooms shall be provided.

**6. Creches**

Every factory shall provide clean, adequately lighted and ventilated rooms for the use of children (under the age of six years) of women workers, if the number of such women workers exceeds 30.

**7. Welfare officers**

- Every factory employing 500 workers or more shall employ welfare officers.
- The state government may prescribe the duties, qualifications and conditions of service of welfare officers so employed.



- A worker who contravenes this provision shall be punished with up to 3 months imprisonment or a fine of Rs. 100, or both.

**Restriction on Disclosure of Information**

No inspector will ever disclose any information relating to manufacturing processes, etc., which comes to his knowledge in course of his official duties. An inspector who does so shall have up to 6 months of imprisonment, or a fine of Rs. 1000, or both

**22.6. THE PAYMENT OF WAGES ACT, 1936 (Amended up to 1982)****22.6.1. Aim**

To regulate the payment of wages to persons employed in industry and drawing less than Rs. 1,000 per month.

This act is about :

- (i) the date of payment of wages ; and
- (ii) deductions (fines or otherwise) from wages.

**22.6.2. Definitions**

1. **Factory**, refer the Factories Act, 1948.

**2. Industrial establishment**

It means any :

- Motor transport service carrying passengers or goods or both on hire,
- Air and water transport service,
- Mine or oil field,
- Workshop, etc.

**3. Wages**

Wages include all remunerations (salary + allowances, etc.) payable to an employee in respect of his employment. Wages also include over-time remuneration, bonus, gratuity, pension, provident fund contribution by the employer, etc.

**Responsibility for Payment of Wages**

- An employer shall be responsible for the payment of wages to all his employees.
- An employer shall fix wage period (not exceeding one month) by which he shall pay wages to his employees.
- If the number of employees is less than one thousand, wages have to be paid before the expiry of the seventh day after the last day of wage period. In the other case, payment shall be made before the expiry of tenth day after the last wage period.
- Wages shall be paid on a working day.
- Wages shall be paid in current coins or currency notes or in both.

**Deductions from Wages**

- Only those deductions as authorized by the Payment of Wages act will be made from the wages of an employee. Deductions may be such as
  - (i) fines ;
  - (ii) those for absence from duty ;
  - (iii) due to damage to or loss of goods ;
  - (iv) for house-accommodation supplied by employer ;
  - (v) for amenities and services supplied by the employer ;
  - (vi) for recovery of advance and loan given to the employee ;
  - (vii) for income tax ;

- A worker who contravenes this provision shall be punished with up to 3 months imprisonment or a fine of Rs. 100, or both.

**Restriction on Disclosure of Information**

No inspector will ever disclose any information relating to manufacturing processes, etc., which comes to his knowledge in course of his official duties. An inspector who does so shall have up to 6 months of imprisonment, or a fine of Rs. 1000, or both

**22.6. THE PAYMENT OF WAGES ACT, 1936 (Amended up to 1982)****22.6.1. Aim**

To regulate the payment of wages to persons employed in industry and drawing less than Rs. 1,000 per month.

This act is about :

- (i) the date of payment of wages ; and
- (ii) deductions (fines or otherwise) from wages.

**22.6.2. Definitions**

1. **Factory**, refer the Factories Act, 1948.

**2. Industrial establishment**

It means any :

- Motor transport service carrying passengers or goods or both on hire,
- Air and water transport service,
- Mine or oil field,
- Workshop, etc.

**3. Wages**

Wages include all remunerations (salary + allowances, etc.) payable to an employee in respect of his employment. Wages also include over-time remuneration, bonus, gratuity, pension, provident fund contribution by the employer, etc.

**Responsibility for Payment of Wages**

- An employer shall be responsible for the payment of wages to all his employees.
- An employer shall fix wage period (not exceeding one month) by which he shall pay wages to his employees.
- If the number of employees is less than one thousand, wages have to be paid before the expiry of the seventh day after the last day of wage period. In the other case, payment shall be made before the expiry of tenth day after the last wage period.
- Wages shall be paid on a working day.
- Wages shall be paid in current coins or currency notes or in both.

**Deductions from Wages**

- Only those deductions as authorized by the Payment of Wages act will be made from the wages of an employee. Deductions may be such as
  - (i) fines ;
  - (ii) those for absence from duty ;
  - (iii) due to damage to or loss of goods ;
  - (iv) for house-accommodation supplied by employer ;
  - (v) for amenities and services supplied by the employer ;
  - (vi) for recovery of advance and loan given to the employee ;
  - (vii) for income tax ;

- (iv) prevents any employee from appearing before the inspector, shall be punishable with a fine from 200 - 1000 rupees.
- A person found guilty of the same offence second time shall be punishable with imprisonment up to 6 months and a fine of, from 500 to 3000 rupees.
- An employer who wilfully does not pay wages of an employee by the date fixed by the authority in this behalf, he shall without prejudice to any other action that may be taken against him, be punishable with an additional fine of up to Rs. 100 for each day for which such neglect continues.

## 22.7. THE MINIMUM WAGES ACT, 1948

This act has been amended in its local application by many states. For example, Bihar State amended it recently in 1988.

### 22.7.1. Objects

To prevent exploitation of the employees (workers), this act aims at fixing minimum wages which they must get.

### 22.7.2. Important Aspects of the Act

- (i) The act lays down for fixation of
  - A minimum time rate of wages,
  - A minimum piece rate,
  - A guaranteed time rate,
  - An overtime rate, for different occupations, classes of work, for adults, children, etc.
- (ii) The minimum wage may consist of a basic rate of wages and a cost of living allowance.
- (iii) Cost of living allowance shall be computed by competent authority such as the Director, Labour Bureau.
- (iv) Wages shall ordinarily be paid in cash.
- (v) The act empowers the appropriate government to fix number of working hours in a day, a weekly holiday, and payment of overtime wages.
- (vi) The employer is required to maintain registers and office records in proper manner.
- (vii) Inspectors may be appointed to hear and decide claims arising due to payment of less than minimum wages.
- (viii) Penalties shall be imposed for violating the provisions of the act.

### 22.7.3. Fixation and Revision of Minimum Wages

- (i) Appropriate government shall fix the minimum rates of wages for persons employed.
- (ii) Appropriate government shall review at interval not exceeding five years, the minimum rates of wages so fixed and revise the minimum rates.
- (iii) In fixing or revising rates of wages:
  - different minimum rates of wages be fixed for different scheduled employments, different classes of work and for adults, children and apprentices,
  - minimum rates of wages may be fixed either by hour, by day, by month or by other longer wage period as may be prescribed.
- (iv) For fixing or revising minimum rates of wages, the appropriate government shall,
  - (a) either appoint committees and sub-committees; and
  - (b) or publish its proposals for the information of persons likely to be affected and consider all representations received from those persons.
- (v) The appropriate government shall appoint an Advisory Board for,



- (iv) prevents any employee from appearing before the inspector, shall be punishable with a fine from 200 - 1000 rupees.
- A person found guilty of the same offence second time shall be punishable with imprisonment up to 6 months and a fine of, from 500 to 3000 rupees.
- An employer who wilfully does not pay wages of an employee by the date fixed by the authority in this behalf, he shall without prejudice to any other action that may be taken against him, be punishable with an additional fine of up to Rs. 100 for each day for which such neglect continues.

## 22.7. THE MINIMUM WAGES ACT, 1948

This act has been amended in its local application by many states. For example, Bihar State amended it recently in 1988.

### 22.7.1. Objects

To prevent exploitation of the employees (workers), this act aims at fixing minimum wages which they must get.

### 22.7.2. Important Aspects of the Act

- (i) The act lays down for fixation of
  - A minimum time rate of wages,
  - A minimum piece rate,
  - A guaranteed time rate,
  - An overtime rate, for different occupations, classes of work, for adults, children, etc.
- (ii) The minimum wage may consist of a basic rate of wages and a cost of living allowance.
- (iii) Cost of living allowance shall be computed by competent authority such as the Director, Labour Bureau.
- (iv) Wages shall ordinarily be paid in cash.
- (v) The act empowers the appropriate government to fix number of working hours in a day, a weekly holiday, and payment of overtime wages.
- (vi) The employer is required to maintain registers and office records in proper manner.
- (vii) Inspectors may be appointed to hear and decide claims arising due to payment of less than minimum wages.
- (viii) Penalties shall be imposed for violating the provisions of the act.

### 22.7.3. Fixation and Revision of Minimum Wages

- (i) Appropriate government shall fix the minimum rates of wages for persons employed.
- (ii) Appropriate government shall review at interval not exceeding five years, the minimum rates of wages so fixed and revise the minimum rates.
- (iii) In fixing or revising rates of wages:
  - different minimum rates of wages be fixed for different scheduled employments, different classes of work and for adults, children and apprentices,
  - minimum rates of wages may be fixed either by hour, by day, by month or by other longer wage period as may be prescribed.
- (iv) For fixing or revising minimum rates of wages, the appropriate government shall,
  - (a) either appoint committees and sub-committees; and
  - (b) or publish its proposals for the information of persons likely to be affected and consider all representations received from those persons.
- (v) The appropriate government shall appoint an Advisory Board for,

**22.7.8. Offences and Penalties**

- An employer who contravenes any provision of the act, be punishable with fine extending up to Rs. 500 and an imprisonment for a term up to six month or both.
- An employer charged with an offence under this act, can file a complaint against the actual offender and if he succeeds in proving the offence by the other person, the actual offender (*i.e.*, the other person) shall be liable to punishment.

**22.8. THE WORKMEN'S COMPENSATION ACT, 1923 (Amended upto 1986)****22.8.1. History**

- The Workmen's Compensation Act came into force in 1924. Before this act, it was a lengthy and costly process for a worker who had got injured in the course of employment to get proper compensation from the employer.
- Originally the act covered workers of certain specified industries, not drawing more than Rs. 300 p.m.
- The Act was amended subsequently in 1933, 1938, 1939, 1946, 1958, 1962, 1976 and 1986).

The details of this act are as follows :

**22.8.2. Main Features of the Act**

- The worker (or his dependents) can claim compensation if the injury has been caused by an accident in the course of the employment ; provided he was not under the influence of drink or drug and the accident was not due to his wilful disobedience of the rules.
- The amount of compensation depends upon the result of the injury and the nature of disablement.
- All fatal accidents are to be brought to the notice of the commissioner and the employer shall deposit the amount of compensation with him (*i.e.* the commissioner) within 30 days.

**22.8.3. Important Definitions****1. Dependents mean**

- A widow, a minor son, unmarried daughter or a widowed mother, and
- If wholly or in part dependent on the earnings of the worker at the time of his or her death,
  - (i) a widower, a minor brother and unmarried sister ;
  - (ii) a widowed daughter-in-law ; and
  - (iii) A minor child of predeceased daughter, etc.

**2. Minor.** A person below 18 years of age.

3. *partial disablement* means disablement of temporary nature and which reduces the earning capacity of a workman.

4. *Total disablement* implies such disablement which (temporarily or permanently) incapacitates a workman for all work and he cannot earn at all (for a period or for ever).

5. *Workman* means a person (other than one whose employment is of casual nature and who is employed otherwise than for the purpose of the employer's trade or business) who is

- (i) a railway servant and not permanently employed in any administrative capacity ;
- (ii) getting wages not exceeding

Rs. 500-As per Act of 1923 .

Rs 1000-As per Act modified in 1976.

**22.8.4. Employer's Liability for Compensation**

- The employer is liable to compensate if

- (i) injury has been caused by accident ;
- (ii) during the course of employment ;
- (iii) and has resulted in workman's death ; permanent or temporary, total or partial disablement.
- The employer is not liable to pay compensation if
  - (i) the injury disables a workman for less than 3 days ;
  - (ii) the injury is caused by an accident which occurred while the workman was under the influence of drink or drugs ;
  - (iii) the injury is caused due to wilful disobedience of the rules by the workman ; or
  - (iv) the injury is caused owing to the wilful removal of any safety guard by the workman.

#### 22.8.5. Employer's Liability in Case of Occupational Diseases

If the disease contracted is an occupational disease peculiar to the employment (such as silicosis to foundry workers), the employer shall give compensation to the workman.

#### 22.8.6. Amount of Compensation

- (a) Where death results from the injury
  - An amount equal to 40% of the monthly wages of the deceased workman multiplied by the relevant factor (Schedule iv)
  - or
  - An amount of 20,000 rupees, whichever is more.
- (b) Where permanent total disablement results from the injury
  - An amount equal to 50% of the monthly wages of the injured workman multiplied by the relevant factor
  - or
  - An amount of 24000 rupees, whichever is more.

Where the monthly wages of a workman exceed one thousand rupees, the monthly wages for the purpose of classes (a) and (b) above shall be deemed to be 1000 rupees only.

#### SCHEDULE IV

| Completed years of age on the last birth day of the workman immediately preceding the date on which the compensation fell due | Factors |
|-------------------------------------------------------------------------------------------------------------------------------|---------|
| Not more than 16                                                                                                              | 228.54  |
| 20                                                                                                                            | 224.00  |
| 24                                                                                                                            | 218.47  |
| 28                                                                                                                            | 211.79  |
| 32                                                                                                                            | 203.85  |
| 36                                                                                                                            | 194.64  |
| 40                                                                                                                            | 184.17  |
| ..                                                                                                                            | ..      |
| ..                                                                                                                            | ..      |
| 50                                                                                                                            | 153.09  |
| ..                                                                                                                            | ..      |
| 60                                                                                                                            | 117.41  |
| ..                                                                                                                            | ..      |
| ..                                                                                                                            | ..      |
| 65 or more                                                                                                                    | 99.37   |



- (c) Where temporary disablement whether total or partial results from the injury, a half monthly payment of the sum equivalent to 25% of monthly wages of the workman, to be paid.

#### 22.8.7. Distribution of Compensation

- Payment of compensation in respect of death of a workman or under legal disability shall be deposited by the employer with the commissioner. Employer should not make payment of compensation directly.
- An employer of course can give advance to any dependent on account of compensation not exceeding Rs. 100.
- The commissioner, after deducting this advance, may allot the entire amount of the compensation to any one dependent.

#### 22.8.8. Notice and Claims of Accident

- A workman injured in an accident should first of all give in writing a notice of the accident to the employer.

The purpose of giving a notice is to enable the employer to check the facts of the accident and also to enable the workman to take steps to mitigate the consequences of the accident.

- The notice should contain particulars of the workman, date of accident and cause of accident.
- A claim for compensation must be made within two years of the occurrence of the accident or within two years of the date of death.
- In case of occupational diseases the period of two years is counted from the day the workman gives notice of the disablement to his employer.
- Where the commissioner receives an information about fatal accident, he may send a notice to workman's employer asking the circumstances which led to workman's death, about deposition of compensation, etc.

#### 22.8.9. Medical Examination

- An injured workman who has submitted a notice, shall present himself for the medical examination, if the employer wants.
- Such an offer by the employer must be free of charge and within 3 days from the time at which service of notice has been affected.
- If a workman does not present himself for the medical examination, his right for compensation shall be suspended for the period of refusal and he will get full compensation only after he provides sufficient cause for not presenting himself for the medical examination.
- If a workman whose right to compensation has been suspended, dies without presenting himself for the medical examination, the commissioner, if he thinks fit, may direct the amount of compensation to the dependents of the deceased workman.

#### 22.8.10. Appointment of Commissioner

The State government may, by notification in his Official Gazette appoint any person to be commissioner for workmen's compensation for such areas as may be specified in this notification. Every commissioner is deemed to be a public servant within the meaning of the Indian Penal Code.

### 22.9. THE INDUSTRIAL DISPUTE ACT, 1947 (Amended Up to 1987)

#### 20.9.1. Introduction and scope of Act

- The whole history of labour struggle indicates the continuous demand for fair return to labour.
- Industrial disputes are mainly the result of dissatisfaction amongst the labour as regards their existing labour conditions.
- With the above in mind, the Industrial Dispute Act came into force in 1947 and it aims at settling

- (c) Where temporary disablement whether total or partial results from the injury, a half monthly payment of the sum equivalent to 25% of monthly wages of the workman, to be paid.

#### 22.8.7. Distribution of Compensation

- Payment of compensation in respect of death of a workman or under legal disability shall be deposited by the employer with the commissioner. Employer should not make payment of compensation directly.
- An employer of course can give advance to any dependent on account of compensation not exceeding Rs. 100.
- The commissioner, after deducting this advance, may allot the entire amount of the compensation to any one dependent.

#### 22.8.8. Notice and Claims of Accident

- A workman injured in an accident should first of all give in writing a notice of the accident to the employer.

The purpose of giving a notice is to enable the employer to check the facts of the accident and also to enable the workman to take steps to mitigate the consequences of the accident.

- The notice should contain particulars of the workman, date of accident and cause of accident.
- A claim for compensation must be made within two years of the occurrence of the accident or within two years of the date of death.
- In case of occupational diseases the period of two years is counted from the day the workman gives notice of the disablement to his employer.
- Where the commissioner receives an information about fatal accident, he may send a notice to workman's employer asking the circumstances which led to workman's death, about deposition of compensation, etc.

#### 22.8.9. Medical Examination

- An injured workman who has submitted a notice, shall present himself for the medical examination, if the employer wants.
- Such an offer by the employer must be free of charge and within 3 days from the time at which service of notice has been affected.
- If a workman does not present himself for the medical examination, his right for compensation shall be suspended for the period of refusal and he will get full compensation only after he provides sufficient cause for not presenting himself for the medical examination.
- If a workman whose right to compensation has been suspended, dies without presenting himself for the medical examination, the commissioner, if he thinks fit, may direct the amount of compensation to the dependents of the deceased workman.

#### 22.8.10. Appointment of Commissioner

The State government may, by notification in his Official Gazette appoint any person to be commissioner for workmen's compensation for such areas as may be specified in this notification. Every commissioner is deemed to be a public servant within the meaning of the Indian Penal Code.

### 22.9. THE INDUSTRIAL DISPUTE ACT, 1947 (Amended Up to 1987)

#### 20.9.1. Introduction and scope of Act

- The whole history of labour struggle indicates the continuous demand for fair return to labour.
- Industrial disputes are mainly the result of dissatisfaction amongst the labour as regards their existing labour conditions.
- With the above in mind, the Industrial Dispute Act came into force in 1947 and it aims at settling



Lay-off is a temporary phase ; the employee-employer relations do not come to an end, but are simply suspended for some period (of emergency).

6. *Lock-out* means the closing of a place of employment or suspension of work or the refusal by an employer to continue to employ any number of workers employed by him.

7. *Public utility services* mean

Railway or transport service,  
Postal, telegraph or telephone service,  
Any industry supplying power, light or water,  
Sanitation,  
Foodstuffs, and  
Coal, textile, etc.

8. *Retrenchment* means the termination of the services of a worker by the employer for any reason whatsoever other than due to disciplinary action. Retrenchment does not include,

- Voluntary retirement of the worker,
- Termination of services on reaching the age of superannuation, and
- Termination of services on the ground of continued illhealth.

9. *Strike* means refusal to work or cessation of work by a body of workmen for enforcement of a demand against the employer during an industrial dispute.

10. *Settlement*. It implies a settlement arrived at in the course of conciliation proceeding. It includes a written agreement between the workers and employer.

11. *Workmen* means any person (including an apprentice) employed in any industry for hire or award to do manual, technical, supervisory or clerical work.

#### 22.9.4. Authorities Under This Act

##### Works Committee

- Any industry, in which 100 or more workers are and have been employed on any day in the preceding 12 months, shall constitute a works committee.
- Works committee shall have representatives of workers and employer both. Workmen representatives will not be less than those of employer in number.
- Works committee shall promote measures for securing and preserving amity and good relations between the workers and employer. It will comment upon matters of their common interest and try to compose any material difference of opinion in respect of such matters.
- Works committee shall smooth away frictions that might arise between the workers and the employer in day-to-day work.

##### Conciliation Officers

Conciliation officers will be appointed by any Appropriate Government and they shall mediate and promote the settlement of industrial disputes.

##### Board of Conciliation

Appropriate Government may constitute a Board of Conciliation to promote settlement of an industrial dispute.

- Board of conciliation will be headed by a chairman (an independent person) and shall have two or four other members which will be representatives of the parties to dispute. Both parties, i.e., workers and employer shall have equal number of representatives.

##### Courts of Enquiry

- Appropriate Government may constitute a court of enquiry to look into any matter connected with industrial dispute.



- Court (of enquiry) may consist of one or more independent persons.
- The court shall inquire and submit a report ordinarily within six months from the commencement of inquiry.

#### **Labour Court**

- The appropriate government may constitute Labour Court consisting of one person only for adjudication of industrial disputes relating to any matter specified in the 2nd Schedule.
- The matters within the jurisdiction of Labour Court as per 2nd schedule are :
  - (i) The propriety or legality of any order passed by employer under the standing orders.
  - (ii) The application and interpretation of standing orders.
  - (iii) Illegality or otherwise of a Strike or Lock-out.
  - (iv) Dismissal of workers including reinstatement or relief to workers wrongly dismissed.
  - (v) Withdrawal of any concession or privilege.
- Presiding officer of one man Labour Court shall be,
  - (i) a judge of a high court ; or
  - (ii) a district judge who has worked for more than 3 years, etc.

#### **Industrial Tribunals**

Appropriate Government may constitute one person Industrial Tribunals for the adjudication of Industrial Disputes relating to matters specified in,

- (i) Schedule II (refer to Labour Court for details of Schedule II),
- (ii) Schedule III-Matters such as  
Wages,  
Compensatory and other allowances,  
Hours of work and rest pauses,  
Holidays and leave with wages,  
Bonus, provident fund, gratuity,  
Rules of discipline, and  
Retrenchment of workers, etc.
- (iii) Presiding officer of the tribunal shall have the same qualification as that of a Labour Court.

#### **National Tribunals**

- Central Government may constitute National Industrial Tribunals for the adjudication of the industrial disputes which involve questions of national importance.
- The presiding officer of the National Tribunal shall be
  - (i) an independent person ;
  - (ii) less than 65 years of age ; and
  - (iii) an existing or retired judge of a high court, etc.

#### **Prohibition of adjudication by other tribunals**

If any reference has been made to a National Tribunal, no Labour Court or Tribunal, shall have jurisdiction to adjudicate upon any matter which is under adjudication before the National Tribunal.

#### **22.9.5. Strikes and Lock-out**

1. No employee of a public utility service shall go on strike,
  - (i) Without giving notice of strike, within six weeks before striking ; or
  - (ii) within fourteen days of giving such notice ; or

- Court (of enquiry) may consist of one or more independent persons.
- The court shall inquire and submit a report ordinarily within six months from the commencement of inquiry.

#### **Labour Court**

- The appropriate government may constitute Labour Court consisting of one person only for adjudication of industrial disputes relating to any matter specified in the 2nd Schedule.
- The matters within the jurisdiction of Labour Court as per 2nd schedule are :
  - (i) The propriety or legality of any order passed by employer under the standing orders.
  - (ii) The application and interpretation of standing orders.
  - (iii) Illegality or otherwise of a Strike or Lock-out.
  - (iv) Dismissal of workers including reinstatement or relief to workers wrongly dismissed.
  - (v) Withdrawal of any concession or privilege.
- Presiding officer of one man Labour Court shall be,
  - (i) a judge of a high court ; or
  - (ii) a district judge who has worked for more than 3 years, etc.

#### **Industrial Tribunals**

Appropriate Government may constitute one person Industrial Tribunals for the adjudication of Industrial Disputes relating to matters specified in,

- (i) Schedule II (refer to Labour Court for details of Schedule II),
- (ii) Schedule III-Matters such as  
Wages,  
Compensatory and other allowances,  
Hours of work and rest pauses,  
Holidays and leave with wages,  
Bonus, provident fund, gratuity,  
Rules of discipline, and  
Retrenchment of workers, etc.
- (iii) Presiding officer of the tribunal shall have the same qualification as that of a Labour Court.

#### **National Tribunals**

- Central Government may constitute National Industrial Tribunals for the adjudication of the industrial disputes which involve questions of national importance.
- The presiding officer of the National Tribunal shall be
  - (i) an independent person ;
  - (ii) less than 65 years of age ; and
  - (iii) an existing or retired judge of a high court, etc.

#### **Prohibition of adjudication by other tribunals**

If any reference has been made to a National Tribunal, no Labour Court or Tribunal, shall have jurisdiction to adjudicate upon any matter which is under adjudication before the National Tribunal.

#### **22.9.5. Strikes and Lock-out**

1. No employee of a public utility service shall go on strike,
  - (i) Without giving notice of strike, within six weeks before striking ; or
  - (ii) within fourteen days of giving such notice ; or

- (iii) before the expiry of date of strike mentioned in the notice ; or
- (iv) during the pendency of conciliation proceeding.

2. No employer of any public utility service shall lock-out,

- (i) without giving notice of lock-out within six weeks before locking out, or
- (ii) before the expiry of date of lockout mentioned in the notice, or
- (iii) during the pendency of conciliation proceeding.

The employer shall send information of strike or lock-out to the specified authority on the day on which it is declared.

### 3. prohibition of financial aid to illegal strikes and lock-out

- A strike or lock-out is illegal if it is declared in contravention of points 1 & 2 above (i.e., section 22 and 23 of the act, respectively).
- No body shall knowingly expend any money in direct support of an illegal strike or lock-out.

### 22.9.6. Lay-off and Retrenchment

- For definition of Lay-off and retrenchment refer *Important Definitions* given earlier in this Act.

### Right of Workmen laid off for compensation

- A worker having more than one year of continuous service under an employer, if is laid off, shall get compensation equal to 50% of the total of his basis wages and dearness allowance, subject to the following limitations :

Provided that if during any period of 12 months, a workman is so laid-off for more than 45 days, no such compensation shall be payable in respect of any period of the lay-off after the expiry of the first 45 days, if there is an agreement to that effect between the workman and the employer, etc.

### Workmen not entitled to compensation in certain cases

No compensation shall be paid to a worker laid-off under following conditions :

- (i) If he refuses to accept alternative employment involving same wages, offered to him in the same concern or in any other concern of the same employer.
- (ii) If the lay-off is due to a strike, etc.

### Conditions precedent to retrenchment

No worker who has a continuous service of more than one year shall be retrenched by the employer until :

- (i) The worker has been given one month's written notice stating the reason for retrenchment and the period of notice has expired or the worker has been paid in lieu of such notice, wage for the period of notice.

- (ii) At the time of retrenchment, the worker has been paid compensation equivalent to 15 days average pay for every completed year of service.

### Closing down the undertaking

- An employer who intends to close down an undertaking shall serve, atleast 60 days before the date on which he intends closure to become effective, a notice to Appropriate Government stating clearly the reasons for closing the undertaking.
- Compensation by reference to section 25-FFF of the Act is provided to workers who are in continuous service for not less than a year with the undertaking.

### 22.9.7. Penalties

- Workers who commence illegal strike shall be punishable with imprisonment extending up to one month and a fine of up to Rs. 50, or both.



benefits.

- Such council can investigate complaints against medical practitioner (attending the workmen) in connection with medical treatment and attendance.

#### **22.10.5. Finance and Audit**

- The Act makes provisions for creation of a fund called Employee's State Insurance Fund.
- The fund is created mainly by the contribution made by the employer and the employees.
- The fund is held and administered by the corporation.
- The fund is utilized for
  - (i) payment of benefits and provisions of medical treatment to workmen and their families ;
  - (ii) establishment and maintenance of ESI hospitals and dispensaries, etc. ;
  - (iii) payment of fees, allowances, salaries, etc., to officers and servants of the corporation ; and for
  - (iv) many other purposes related to proper functioning of ESI corporation.

#### **Contribution**

- Contributions towards making the fund is mainly from the Employer and Employees of the undertaking ; though Central and State Governments also give grants and donations in the fund.
- The employer, deducts employee's contribution from their salaries and the same along with his own share, shall submit in a bank nominated for the purpose.
- The ESI corporation may appoint Inspectors to check the particulars about the amount (of fund) submitted by the employer.

#### **22.10.6. Benefits**

The Act provides the following benefits

##### **1. Sickness benefit**

It is in the form of periodical payment to any insured person when his sickness is certified by a duly appointed medical practitioner or by another person having qualifications as prescribed in regulations.

##### **2. Maternity benefit**

An insured woman employee is entitled to periodical payment in case of confinement or miscarriage or sickness arising out of pregnancy, confinement or premature birth of a child or miscarriage.

##### **3. Disablement benefit**

An insured person suffering from disablement as a result of injury in course of employment (i.e., employment injury) is entitled for disablement benefit.

##### **4. Dependents benefit**

Where insured person dies of employment injury, dependents' benefit shall be payable.

##### **5. Medical benefit**

An insured person whose condition demands medical treatment is entitled to receive medical treatment and medical benefit.

#### **22.10.7. Adjudication of Dispute and Claims**

##### **1. Employee's Insurance (EI) Court**

State government shall constitute Employee's Insurance court to decide all matters, questions and disputes arising from the insurance of workmen.

##### **2. Matters to be decided by E.I. court**

- Whether any person is an employee within the meaning of this Act and if he has to pay the

contribution.

- Rate of contribution to be paid by principal employer.
- Rate of wages of an employee.
- Right of any workman to any benefit and as to the amount and duration thereof.
- Any dispute between the employer and ESI corporation.

#### **22.10.8. Penalties**

##### **Punishment for false statements**

- Imprisonment up to six months or fine not exceeding Rs. 2000 or both.

##### **Punishment for failure to pay contributions**

- Imprisonment extending up to 3 years or fine up to Rs. 10,000.

##### **Prosecutions**

- Prosecution shall be instituted only with the previous sanction of the Insurance Commissioner.
- No court inferior to that of a Presidency Magistrate or a First Class Magistrate shall try any offence under this Act.

#### **22.10.9. Miscellaneous**

- The appropriate government may exempt certain factories or employees from the operation of this Act, under certain conditions.
- Central Government, State Government and the Corporation has powers to make rules and regulations consistent with this Act.